

Unit 3 – Section 2: Business Growth

One-Page Student Summary Sheet

Key Concepts and Definitions

Concept	Definition	Real-World Example
Business Growth	An increase in a firm's size, output, revenue, or market share.	Amazon expanding global distribution centres.
Economies of Scale	Cost advantages gained from increased output that lower average unit costs.	Tesco purchasing in bulk to reduce supplier costs.
Diseconomies of Scale	Rising average costs due to inefficiencies from excessive growth.	Communication issues in large multinationals.
Organic Growth	Internal expansion through increased sales, new products, or markets.	Greggs opening new stores in Dubai.
External Growth	Expansion through mergers, takeovers, or alliances.	Vodafone acquiring Mannesmann.
Synergy	Combined firms achieving greater efficiency than operating separately ($1 + 1 = 3$ effect).	Disney's acquisition of Pixar.
Horizontal Integration	Merger between firms in the same industry and stage of production.	Asda and Sainsbury's attempted merger.
Vertical Integration	Merger between firms at different stages of the supply chain.	Starbucks buying coffee bean suppliers.
Staying Small	Strategy of remaining niche, flexible, and close to customers.	Lush or BrewDog (early years).

Command Words & AO Focus

Mark	Command Words	AO Skills	Tips for Students
4 marks	Define / Explain / Construct	AO1 + AO2	Give a precise definition + one applied example.
8 marks	Assess	AO2 + AO3	Two developed points with balance and context.
12 marks	Discuss	AO3 + AO4	Present both sides and add a mini-judgement.
20 marks	Evaluate	AO1–4 (all)	Build chains of reasoning + strong, balanced conclusion.

High-Frequency Question Themes

- Economies of Scale → efficiency and cost advantages.
- Organic vs External Growth → risk and control.
- Synergy and Integration → success factors in mergers.
- Staying Small → customer loyalty and flexibility.
- Diseconomies of Scale → operational challenges of growth.

Revision Checklist

- ✓ Can I define and explain all growth terms?
- ✓ Can I apply each concept to real business examples?
- ✓ Can I explain the advantages and risks of growth strategies?
- ✓ Can I write a balanced evaluation with “depends on” and time-frame judgement?